



LAZY DOG

— CAPITAL —

COVER LETTER — DEED IN LIEU OFFER

DRAFT — NOT FOR USE. Attorney review required. Send only after the Acceptance Checklist has been completed and both Managers have signed off. Delivered by certified mail, return receipt requested, and by email.

LAZY DOG CAPITAL LLC

3400 N Central Expy #110-217, Richardson, TX 75080 · 214-740-4989

{{SETTLEMENT_DATE}}

{{AFFIANT_NAME}}

{{BORROWER_ENTITY}}

{{BORROWER_ADDRESS}}

**Sent by certified mail, return receipt requested, and by email to
{{BORROWER_EMAIL}}**

Re: Loan No. {{LOAN_NUMBER}} — {{PROPERTY_ADDRESS}}

Offer to resolve by deed in lieu of foreclosure

Dear {{BORROWER_FIRST_NAME}},

As you know, the loan on {{PROPERTY_ADDRESS}} is in default.

{{DEFAULT_DESCRIPTION}} We sent notice on {{DEFAULT_NOTICE_DATE}} and the cure period has expired.

Where things stand. As of {{SETTLEMENT_DATE}}, the total amount owed is \$
{{TOTAL_DEBT}}. An itemized statement is enclosed. Interest continues to accrue at the default rate of 18.000% per year, and costs continue to be added.

We have the right to accelerate the loan and sell the property at a foreclosure sale. We have not posted the property for sale, and we would rather not.

What we are offering. Instead of foreclosure, we are offering to accept a deed to the property. If you accept, you would sign the enclosed documents and turn the property over to us, and we would:

{{CONSIDERATION_SUMMARY}}

We are also including an **equity true-up**. If we sell the property to a third party within twelve months, and the sale price exceeds what we are owed plus what we spend to finish, carry, and sell it, we pay you the difference. The full terms are in Section 4 of the Settlement and Release Agreement.

What this means for you. You would give up all ownership of the property. This is a complete and final transfer, not a temporary arrangement, and you would have no right to buy it back or redeem it. Your only remaining right would be the true-up described above.

What we are enclosing.

1. Itemized statement of amounts owed
2. Settlement and Release Agreement
3. Estoppel Affidavit, with Schedule 1 for you to complete
4. Special Warranty Deed in Lieu of Foreclosure
5. Bill of Sale and Assignment

Three things you should know before deciding.

Get your own attorney. We are not your lawyer and we are not giving you legal advice. You should have an attorney of your own choosing review these documents before you sign anything. If you would rather let the foreclosure proceed, that is your right, and we will not hold it against you.

Get your own tax advice. If we waive the deficiency, the forgiven amount may be treated as taxable income to you, and we are required to report it to the IRS on Form 1099-C. This could mean a real tax bill. Please talk to your own tax advisor before deciding.

Schedule 1 has to be complete. The Estoppel Affidavit asks you to swear to a full list of everyone who is owed money on this property — contractors, subcontractors, suppliers, anyone who has sent you a notice. Please list everything, including claims you dispute. If something is left off, this offer may be withdrawn and we may have claims against you personally. A complete list protects you.

Deadline. This offer expires on **{{OFFER_EXPIRATION_DATE}}**. We may withdraw it before then, and we are not obligated to accept a deed. If we do not have signed documents by that date, we may post the property for foreclosure sale.

This is not a waiver. Nothing in this letter waives the default, accelerates the loan, or gives up any right or remedy we have under the loan documents or Texas law, all of which we expressly reserve.

Questions. Call me at 214-740-4989. I am glad to walk through any of it. But please talk to your own attorney before you sign.

Sincerely,

Lewis McKnight, Manager

Lazy Dog Capital LLC

Enclosures

FILL-IN GUIDE

`{{CONSIDERATION\_SUMMARY}}` — write as a short bulleted list matching what you checked in Section 2 of the Settlement Agreement. Typical:

- Release **{{GUARANTOR_NAMES}}** from personal liability under the Personal Guarantee
- Waive any remaining balance, so no deficiency would be owed

- Not pursue a foreclosure sale on this property

`**{{DEFAULT\_DESCRIPTION}}**` — one or two factual sentences. State what happened, not what you think of it. "*The monthly interest payment due {{DATE}} has not been received.*" Not "*You have repeatedly failed to pay.*"

`**{{OFFER\_EXPIRATION\_DATE}}**` — 10 to 14 days out. Long enough for the borrower to get counsel; short enough to keep the foreclosure timeline moving.

Send the Acceptance Checklist to no one. It stays internal.

TOKENS

{{SETTLEMENT_DATE}} · {{AFFIANT_NAME}} · {{BORROWER_FIRST_NAME}} ·
{{BORROWER_ENTITY}} · {{BORROWER_ADDRESS}} · {{BORROWER_EMAIL}} · {{LOAN_NUMBER}}
· {{PROPERTY_ADDRESS}} · {{DEFAULT_DESCRIPTION}} · {{DEFAULT_NOTICE_DATE}} ·
{{TOTAL_DEBT}} · {{CONSIDERATION_SUMMARY}} · {{GUARANTOR_NAMES}} ·
{{OFFER_EXPIRATION_DATE}}